Hypothesis: How the Business Should Be Running

Dub Dub model vs actual Operations usage | January 1, 2026 to July 31, 2026

Executive Summary

- Your model says the business should retain $14,472.50 after seven months: $8,872.50 after tax plus $5,600.00 rental excess.
- Actual labelled activity leaves only $100.99 visible from the Dub Dub pool after running costs, tax/banking, and rent/overhead payments.
- The plot is being lost in two places: running costs are $5,914.01 over the model, and the $14,000.00 rental provision is not visibly ring-fenced as a reserve.
- If the rental provision had really been separated, the model would still be close: actual retained value would be $14,955.76, only $483.26 away from the hypothesis.

Expected retained	Actual visible left	Running cost overrun	Rent reserve not visible
$14,472.50	**$100.99**	**$5,914.01**	**$14,000.00**

Hypothetical Model

Line	Calculation	Amount
Dub Dub transfer	$4,500.00 x 7	**$31,500.00**
Running costs	$3,000.00 x 7	**-$21,000.00**
Pre-tax surplus		**$10,500.00**
Tax at 15.5%		**-$1,627.50**
After-tax surplus		**$8,872.50**
Rental extra	$2,000.00 - $1,200.00 x 7	**$5,600.00**
Expected retained		**$14,472.50**

Source: Dub Dub $33,980 case breakdown and Operations labelled-use analysis

Actual Analysis Following the Same Model

This uses the same logic as the hypothesis, but replaces the assumptions with labelled Dub Dub and Operations activity already identified in the case analysis.

Line	Basis	Actual	Vs model
Actual Dub Dub pool	Savings + Black Box	$33,980.00	$2,480.00
Stock orders	Actual labelled stock	-$17,737.00	
Other operating	Payouts, payables, salaries, utilities, transport, groceries	-$9,177.01	
Comparable running costs	Stock + other operating	-$26,914.01	-$5,914.01
Tax / banking	Actual labelled tax and banking	-$1,950.00	-$322.50
Rent / overhead paid	Actual labelled rent/overhead	-$5,015.00	$3,385.00
Visible cash left	Pool less labelled uses	$100.99	-$14,371.51

Source: Dub Dub $33,980 case breakdown and Operations labelled-use analysis

Where the Plot Is Being Lost

- Running costs are too high. The model allows $21,000.00 for stock, salaries, and other expenses. Actual comparable running costs are $26,914.01, which is $5,914.01 over budget.

- The rental provision is the main control failure. The model assumes $14,000.00 is put away for rentals. Actual rent/overhead paid is $5,015.00, so $8,985.00 should be sitting somewhere if the reserve was real.

- That reserve is not visible in the cash outcome. After all labelled uses, only $100.99 remains visible from the Dub Dub pool.

- Tax and banking are mixed. The model's tax is $1,627.50, while actual tax/banking labels total $1,950.00. Banking should be separated from tax because it can hide ordinary cash movement.

Actual Cost Breakdown

Use	Amount	Share of pool
Stock orders	$17,737.00	52.2%
Other labelled payouts	$7,638.00	22.5%
Supplier / payables	$1,110.00	3.3%
Salaries / wages	$260.00	0.8%
Utilities / transport / groceries / tiny invest row	$169.01	0.5%
Tax / banking	$1,950.00	5.7%
Rent / overhead paid	$5,015.00	14.8%
Visible remainder	$100.99	0.3%

Source: Dub Dub $33,980 case breakdown and Operations labelled-use analysis

Case Conclusion and Controls Needed

- The business can look close to the hypothesis only if the rental provision is treated as a real separate reserve.
- Without a visible reserve, the practical cash result is $100.99, not $14,472.50.
- The immediate control question is: where is the rental reserve account or physical cash box that proves the monthly $2,000 was actually put away?
- The second control question is why running costs exceeded the model by almost $6,000 despite inflow being above plan.

Required Next Steps

- Create a separate rental reserve ledger and reconcile it monthly.
- Split tax from banking in Operations entries. Do not allow a combined tax/banking bucket.
- Require receipts for stock orders and any non-stock payout over $100.
- Review the other labelled payout bucket because it is too large to be treated as harmless miscellaneous spending.
- Track the model monthly: transfer target, running-cost cap, tax provision, rent reserve, actual rent paid, and retained cash.

Assumption

The actual comparison is capped to the Dub Dub $33,980 case base already established in the prior report. It does not use broader Operations outflows above that amount.

Source: Dub Dub $33,980 case breakdown and Operations labelled-use analysis